IN THE NATIONAL COMPANY LAW TRIBUNAL,
NEW DELHI COURT III

Item No. 03
CAA-118(ND)/2022

IN THE MATTER OF:
M/s. Lucideus Tech Pvt Ltd. AND Safe Technology India Pvt Ltd.

.....APPLICANT/PETITIONER

SECTION
U/s 230/232

Order Pronounced on 14.06.2023

CORAM:
SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

PRESENT:
For the Applicant :
For the Respondent :

ORDER

Order pronounced in open court vide separate sheets. CAA-118(ND)/2022 is **disposed of.**

Sd/-
(ATUL CHATURVEDI)
MEMBER (TECHNICAL)

Sd/-
(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)

IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH – III
COMPANY PETITION NO. (CAA) – 118(ND)/2022

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF:

LUCIDEUS TECH PRIVATE LIMITED

...TRANSFEROR COMPANY-1

AND

SAFE TECHNOLOGY INDIA PRIVATE LIMITED

.... TRANSFEREE COMPANY

Order Delivered On: 14.06.2023

CORAM:

SHRI. BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)
SHRI. ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

For the Applicant : PC AAbhishek Nahta, Adv Rishabh Sachdeva, Adv Raveena Paniker

For the RD : Ms. Shankari Mishra, Advocate for RD

For the OL : Adv. Hemlata Rawat, Adv. Aayushmaan Vatsyayana

ORDER

PER: SHRI. ATUL CHATURVEDI, HON'BLE MEMBER, (TECHNICAL)

1. The present Joint Petition is filed by the Petitioner Companies viz., LUCIDEUS TECH PRIVATE LIMITED (Transferor Company/Applicant No.1) and SAFE TECHNOLOGY INDIA PRIVATE LIMITED (Transferee

Company) under Section 230-232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Amalgamation of the Transferor Company with Safe Technology India Private Limited (Transferee Company). The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme"), has been placed on record.

2. The Transferor Company No. 1 i.e Lucideus Tech Private Limited CIN: U72200DL2012PTC317713 was incorporated on 15.05.2012 under the provisions of the Companies Act, 1956, and having its registered office at A-1/20, Basement, Safdarjung Enclave, Delhi-110029. The registered office of the Transferor Company is under the jurisdiction of the Tribunal. The authorised share capital of the Transferor Company is Rs. 3,00,00,000/- (Rupees Three Crore Only) divided into 30,00,000 (Thirty Lakhs) Equity shares of Rs. 10/- (Ten) each total. The issued, subscribed and paid-up capital of the Company is Rs. 1,63,45,440/- (One Crore Sixty-Three Lakhs Forty-Five Thousand Four Hundred Forty Only) divided into 16,34,544 (Sixteen Lakhs Thirty-Four Thousand Five Hundred Forty-Four) Equity shares of Rs. 10/- (Ten) each total.

3. The Transferee Company i.e Safe Technology India Private Limited CIN: U72900DL2017PTC312605 was incorporated on 09.02.2017 under the provisions of the Companies Act, 1956, and having its registered office at A-1/20, Basement, Safdarjung Enclave, Delhi-110029. The

registered office of the Transferee Company is under the jurisdiction of the Tribunal. The authorised share capital of the Transferee Company is Rs. 2,00,00,000/- (Rupees Two Crore Only) divided into 20,00,000 (Twenty Lakhs) Equity shares of Rs. 10/- (Ten) each total. The issued, subscribed and paid-up capital of the Company is Rs. 1,71,07,260 (Rupees One Crore Seventy-One Lakhs Seven Thousand Two Hundred Sixty Only) divided into 17,10,726 (Seventeen Lakhs Ten Thousand Seven Hundred Twenty-Six) Equity shares of Rs. 10/- (Ten) each total.

4. With the intent of consolidating the business operations undertaken by the Transferor Company and the Transferee Company and create synergies, the said companies now propose, by way of this Scheme to amalgamate the Transferor Company with the Transferee Company in accordance with the terms hereof. The amalgamation of the Transferor Company with Transferee company would inter-alia have the following benefits:

   i) The amalgamation will result in the consolidation of the business operations undertaken by the Transferor Company and Transferee Company.

   ii) Leverage on the combined assets, capabilities, infrastructure, and other resources of both the companies.

   iii) The amalgamation will result in reduction of the companies leading to reduction in compliance requirements, overheads, administrative, managerial and other expenditure and optimal utilization of various resources due to consolidation of activities.

iv) The Scheme shall be beneficial and in interests of the shareholders and creditors of the Transferor Company and the Transferee Company and all concerned.

In view of the aforesaid, the Management of the Transferor Company and Transferee Company have considered and proposed the amalgamation of the entire business of the Transferor Company with the Transferee Company. Accordingly, the Management of the Transferor Company and Transferee Company have formulated this Scheme of Amalgamation pursuant to the provisions of Section 23o to 232 and other applicable provisions and amendments of the Companies Act, 2013.

5. The appointed date as fixed for the proposed scheme of Amalgamation is 1st April, 2022 or such other date as may be directed by the Hon'ble National Law Tribunal.

6. From the records, it is seen that the First Motion joint application was filed before this Tribunal vide CA(CAA)96/ND/2022. Vide order dated 24th November 2022, the meeting of Shareholders, Secured Creditors and Unsecured Creditors of the Transferor Company and the Transferee Company was dispensed with. Therefore, no chairperson was appointed by the Hon'ble NCLT, no report of chairperson is being submitted. Transferor Company-1 meeting of the equity shareholders was directed to be dispensed with and written consent has been obtained by way of affidavits for the proposed merger. There were nil Secured Creditors and

Unsecured Creditors of the Transferor Company therefore, the necessity of convening and holding a meeting did not arise.

7. The Tribunal directed the petitioner companies to issue individual notices to the (i) Regional Director, Northern Region of Ministry of Corporate Affairs, (ii) Income Tax Department, (iii) Registrar of Companies NCT of Delhi and Haryana, (iv) Official Liquidator

8. The Petitioner Companies were also directed to carry out publication in the newspapers. It is seen from the records that the petitioners have filed an Affidavit affirming compliance and disclosing that the applicants have effected publication in "Business Standard" (English) Delhi edition as well as "Business Standard" Hindi, Delhi edition, both dated on 30.12.2022. In addition to the public notice, notices were served on the Regional Director (Northern Region), Official Liquidator, the Income Tax Department, Registrar of Companies, NCT of Delhi and Haryana, Reserve Bank of India and to the other relevant sectoral regulators.

9. Pursuant to the notice issued to the Regional Director and Official Liquidator, they have filed their response/reply in the matter.

10. The Regional Director (RD) in its report dated 02.02.2023 has made certain observations as under: -

i) It is seen that Annual Return filed by both Transferor and Transferee Company, there are Body Corporate Shareholder holding more than 10% shares. However, from BEN-2 has not been filed by both the companies.

ii) In the Auditors Report for year ended 31.03.2022 in respect of Transferor Company, Auditor has made emphasis of matter as under:

"We draw your attention to Note No. 21 to the Financial Statements regarding preparation of financial statements on a going concern basis in view of proposed scheme of Amalgamation of the Company with the holding company"

iii) In the Auditors Report for year ended 31.03.2022 in respect of Transferee Company, Auditor has stated as under:

"We draw your attention to Note 35 to these standalone Financial Statements that describes losses of INR 92268.65 Thousand (March 31,2021-INR 87055.47 Thousand) incurred by the Company during the year ended March 31,2022, thereby resulting in accumulated losses of INR 428890.16 Thousand as at March 31,2022 (March 31,2022-INR 336221.51) which have resulted in erosion of net worth. The ability of the company to continue as a going concern is dependent on new customer contracts and on financial support from the holding company for the company to be able to meet its obligations as and when they arise. These events and conditions cast

significant uncertainty on the company's ability to continue as a going concern.

iv) In the Auditor Report for year ended 31.03.2022 in respect of Transferee Company, it has been mentioned that the company is generally regular in depositing undisputed statutory dues in respect of provident fund, goods and service tax and income tax, though there has been a slight delay in few cases.

v) As per Auditors Report for year ended 31.03.2022 in respect of Transferee Company, it has been stated that a material uncertainty exists as on the date of the audit report that the company is capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date.

vi) In the Notes (37(vii)) to the standalone Financial Statements for the year ended March 2022 in respect of Transferee Company, it has been stated that "the short term borrowing is covered by hypothecation of fixed deposit however charges or satisfaction of the same are not yet registered with the Registrar of Companies beyond the statutory period". Please clarify."

11. The Petitioner Companies had filed reply dated 20.02.2023 in response to the observations made by the Regional Director, under wherein the Petitioner Companies gave clarification and undertaking to address the observations made by the Regional Director. The reply of the Petitioner Companies are mentioned below:

i) The Transferor Company is 100% held by the Transferee Company. The Transferee Company is 99.99% held by its US parent i.e Safe Securities inc., which has about 116 shareholders, individual as well as body corporates. Further, none of the shareholders of the holding entity falls under the definition of Significant Beneficial Owner as provided in Rule 2(1) (h) of the Companies (Significant Beneficial Owners) Rules, 2018. Accordingly, reporting of SBO in e-form BEN-2 is not applicable on the petitioner companies.

ii) It is submitted that the business being undertaken by the Transferor Company shall exist and be continued by the Transferee Company after the approval of proposed Scheme of Amalgamation. Hence, in the Auditor's report. for year ended 31.03.2022, it has been stated that the financial statements have been prepared on a going concern basis in view of the proposed scheme of Amalgamation of the Company with the holding company.

iii) The losses as at the end of FY 2020-21 and FY 2021-22 incurred on account of uncertainties caused on business front by the unprecedented COVID- 19 virus, which inter-alia resulted in major loss of customers and business.

However, based on the aforementioned temporary scenario, the Company's ability to continue as 'going concern' cannot be challenged and the same can be witnessed from it Provisional Standalone Financials for the current period i.e. 1st April, 2022 to 31st December, 2.022. It is submitted that the Company has started

earning profits and basis the provisional financial statements, it has earned a net profit of approx. INR 87467.15 Thousand during 1st April to 31st December, 2022.

Basis business growth so far and profits earned in last 9 months, the Transferee Company is hopeful and expected to close the FY 22-23 in a profitable state.

iv) It is submitted that the Transferee Company has been regularly depositing all its statutory dues in respect of provident fund, goods and service tax and income. tax. The delay, if any, would have been of 1-2 days only, which is purely unintentional and are on account of operational difficulties 'faced by the Company.

Further, it is hereby informed that as on date, there is no outstanding payment in relation to any of the statutory dues.

v) It is submitted that as per the Provisional Standalone Financials of the Transferee Company for the period 1st April, 2022 to 31st December, 2022 the company has earned a net profit of INR 87467.15 Thousand.

Basis the net profit earned in last 9 months, the Transferee Company is hopeful and expected to close the FY 22-23 in a profitable state.

Hence, there is no uncertainty as on 31st December, 2022 on Company's ability to meet its liabilities existing at the date of balance sheet as and when they fall due.

vi) It is submitted that the Transferee Company had applied for a Corporate card for business purposes with HDFC Bank.

The Bank at the time of issuance of the corporate card asked the Transferee Company to create a Fixed Deposit which shall be held as a security for regular payment of credit card dues.

The Fixed deposit has been created and held as security with the same bank and hence this amounts to mortgage and not charge, thus there is no requirement for separate charge registration.

Therefore, we are satisfied with the Transferor Companies.

12. The Official Liquidator has filed its report dated 08.02.2023, wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the affairs of the transferor companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

13. Despite of repeated opportunities, no comments were received from the Income Tax Department with respect to any of the Petitioner Companies. As per the provisions of Section 230(5) of the Companies Act, 2013, on the expiry of 30 days from the date of the notice, it may be presumed that the Income Tax Department does not have any comments on the proposed Scheme of Amalgamation. Nevertheless, after giving due opportunities due to the inordinate delay caused by the Income Tax Department the right to file reply on behalf of the Income Tax Department stood closed vide order dated 08.05.2023. As

per order dated 08.05.2023 passed by this Tribunal and Income Tax Department has been set Ex-parte.

14. In view of the facts as narrated above, and the Reports of the Assessing Officers (annexed herewith), it is humbly submitted that the Income Tax Department has been set ex-parte and has no objection to the sanction of the Amalgamation Scheme subject to the payment of the outstanding income tax demand with respect to M/s. Lucideus Tech Private Limited (Transferor Company) and M/s. Safe Technology India Private Limited (Transferee Company).

15. It is also prayed that a sanction in the Amalgamation Scheme in the present matter shall not prejudice any rights of the Income Tax Department as available under the Income Tax Act, 1961 in view of the Hon'ble Supreme Court Judgment in Department of Income Tax vs. Vodafone Essar Gujarat Ltd. (2015) 16 SCC 629.

16. Considering the reply of the Petitioner Companies and further, the undertaking of the Petitioner Companies with respect to the observations and clarifications, we find no impediment in approving the present scheme of amalgamation.

17. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the

Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

18. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Arrangement is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

19. The shareholders of the petitioner company are the best judges of their interest, being fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

20. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

21. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

(i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

22. This tribunal further directs with respect to Transferor Company and Transferee company, that:

(i) Upon the sanction becoming effective from the appointed date as provided under the scheme, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iii) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(iv) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on

the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(v) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vi) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

23. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

24. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as

prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

25. The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/- Sd/-

(ATUL CHATURVEDI)
MEMBER (TECHNICAL)

(BACHU VENKAT BALARAM DAS)
MEMBER(JUDICIAL)